



 **Time:** 5 minutes

 **Outcome:** Identify Minimum Efficient Scale & Constant Returns to Scale.

Difficulty: ●●○ Intermediate

Minimum Efficient Scale & Constant Returns to Scale



THE CORE IDEA

Minimum efficient scale (MES) is the smallest output attaining minimum long-run average cost (LRAC). If the minimum is flat, MES is the start of that range. Output can expand across the flat range without changing cost per unit.



HOW TO RECOGNIZE IT

- Find the lowest point of the long-run average-cost curve.
- Minimum efficient scale is the smallest output at which that minimum cost is attained.
- A flat minimum indicates a range of outputs with constant returns to scale.
- Do not confuse a flat average-cost segment with output remaining unchanged.

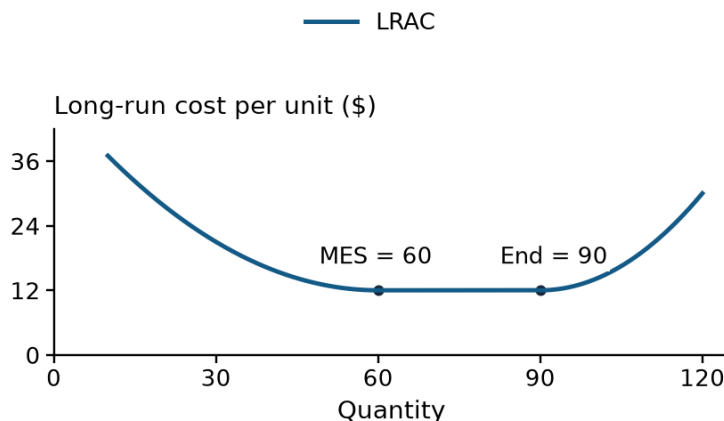


WATCH OUT

Minimum efficient scale is the first output attaining minimum LRAC, not the midpoint or end of a flat minimum-cost interval.



WORKED EXAMPLE: FINDING MINIMUM EFFICIENT SCALE



LRAC first reaches \$12 at 60 units and remains at \$12 through 90 units. Minimum efficient scale is therefore 60. The flat 60-to-90 interval illustrates constant returns to scale: output can expand proportionally without changing long-run cost per unit.



CHECK YOURSELF

If LRAC first reaches its minimum at 5,000 units and remains flat until 8,000, what is MES?



READY?

Return to the game and master this concept.